the private sector such as the social sector support for the poor masses), the government initiated the process of strategic disinvestment. The Government classifying the PSUs into ***'strategic'*** and ***'non strategic'*** announced in March 1999 that it will generally reduce its stake (share holding) in the ***'non-strategic'*** public sector enterprises (PSEs) to 26 per cent or below if necessary and in the ***'strategic'*** PSEs (i.e. arms and ammunition; atomic energy and related activities; and railways) it will retain its majority holding.[45] There was a major shift in the disinvestment policy from selling small lots of share in the profit-making PSUs (i.e. token disinvestment) to the strategic sale with change in management control both in profit and loss-making enterprises. The essence of the strategic disinvestment was—

(a) The minimum shares to be divested will be 51 per cent, and

(b) the wholesale sale of shares will be done to a ***'strategic partner'*** having international class experiencfe and expertise in the sector.

This form of disinvestment commenced with the Modern Food Industries Ltd. (MFIL). The second PSUs was the BALCO which invited every kind of criticism from the opposition political parties, the Government of Chattisgarh and experts, alike. The other PSUs were CMC Ltd, HTL, IBPL, VSNL, ITDC (13 hotels), Hotel Corporation of India Ltd. (3 hotels), Paradeep Phosphate Ltd (PPL), HZL, IPCL, MUL and Lagan Jute Manufacturing Company Ltd. (LJMC)—a total number of 13 public sector enterprises, were part of the ***'strategic sale'*** or ***'strategic disinvestment'*** of the PSEs.[46] The new government at the Centre did put this policy of strategic disinvestment on the hold practically and came up with a new policy in place.

Current Disinvestment Policy

The present disinvestment policy[47] was articulated by the UPA-II under its restructured Common Minimum Prgramme (CMP) in 2009 which is based on the ***main ideology*** that:

(a) Citizens have every right to own part of the shares of Public Sector Undertakings